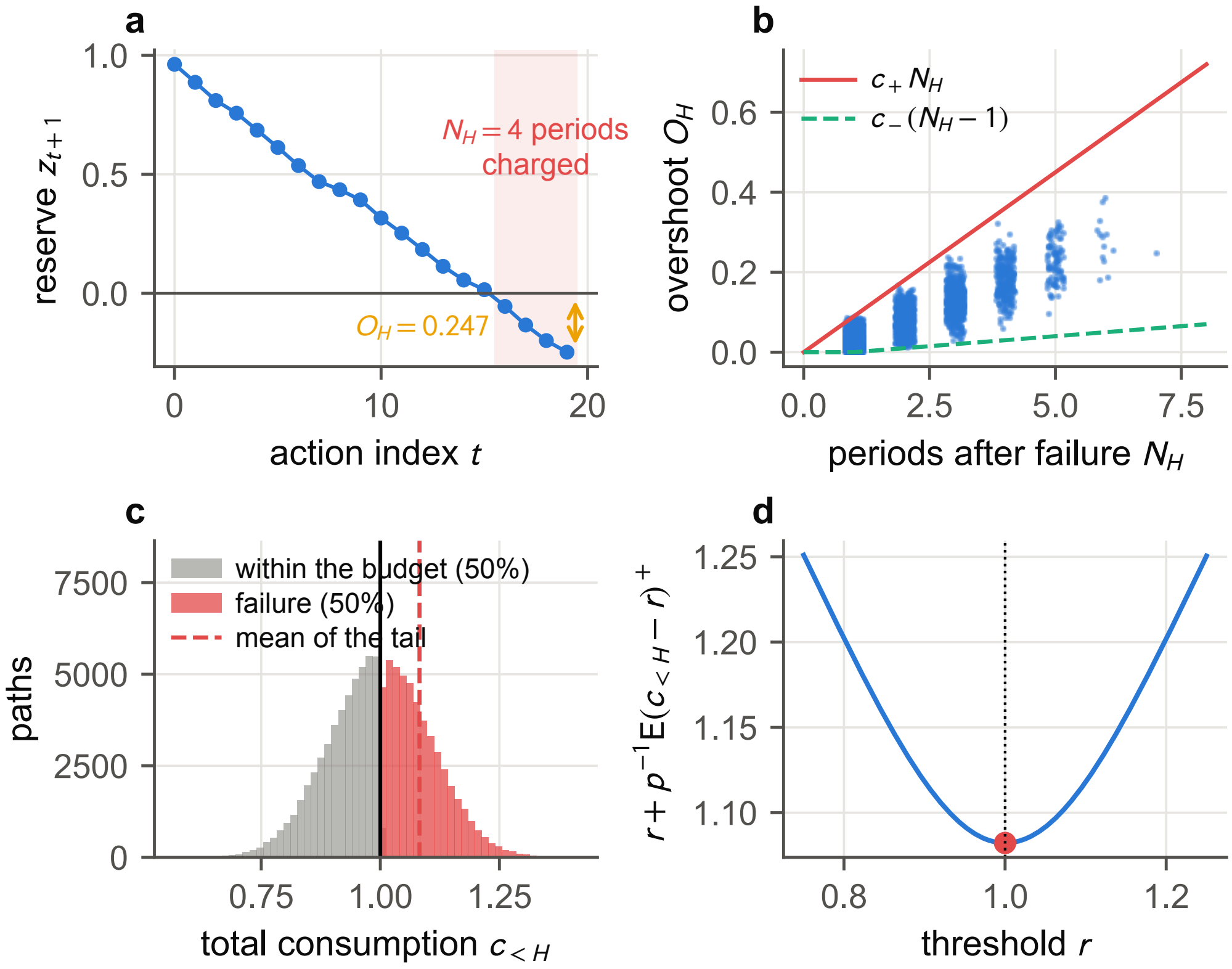
a
1.0
0.5
0.0
reserve z_{t+1}
$N_H = 4$ periods
charged
$O_H = 0.247$
0
10
20
action index t
b
$c_+ N_H$
$c_- (N_H - 1)$
overshoot O_H
0.6
0.4
0.2
0.0
0.0
2.5
5.0
7.5
periods after failure N_H
c
within the budget (50%)
failure (50%)
mean of the tail
paths
7500
5000
2500
0
0.75
1.00
1.25
total consumption $c_{<H}$
d
$r + p^{-1}\mathrm{E}(c_{<H} - r)^+$
1.25
1.20
1.15
1.10
0.8
1.0
1.2
threshold r